Registered number: 01788466

CHARLTON ATHLETIC FOOTBALL COMPANY LIMITED

ANNUAL REPORT AND FINANCIAL STATEMENTS

FOR THE YEAR ENDED 30 JUNE 2024

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COMPANY INFORMATION

Directors	J R Rodwell E M Warrick
Registered number	01788466
Registered office	The Valley Floyd Road London SE7 8BL
Independent auditor	CLA Evelyn Partners Limited Chartered Accountants & Statutory Auditor 45 Gresham Street London EC2V 7BG

CHARLTON ATHLETIC FOOTBALL COMPANY LIMITED

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STRATEGIC REPORT
FOR THE YEAR ENDED 30 JUNE 2024

Introduction

The directors present their Strategic Report for Charlton Athletic Football Company Limited ("the Club" or "the Company") for the year ended 30 June 2024.

Principal activity

The principal activity of the Company continues to be the operation of a professional football club, together with related commercial activities.

Review of Business

The financial results for the year ended 30 June 2024 show a decrease in turnover to £8,812k *(2023 - £9,802k)* and a loss before taxation to £13,927k *(2023 - £9,559k)*. On 21 July 2023, the Company was sold by Clear Ocean Capital to SE7 Partners Limited.

Principal Risks and Uncertainties

There are a number of potential risks and uncertainties which could have a material impact on the Club's long term performance. These are monitored by the Board on a regular basis. These risks include, but are not limited to:

- Performance and success of the playing team and related supporter engagement;
- Recruitment and retention of key employees;
- Rules and regulations of relevant football governing bodies;
- Negotiation and pricing of commercial contracts; and
- Cost inflation.

Key Performance Indicators (KPIs)

The new directors consider the KPIs of the business to be the on-pitch performance, revenue levels, average attendance, and operating costs.

Financial risk management

The Company's financial instruments comprise of cash and cash equivalents and items such as trade creditors and trade debtors which arise directly from its operations. The main purpose of these financial instruments is to provide finance for the Company's operations.

The Company's operations expose it to a variety of financial risks including credit risk and liquidity risk. The policies set by the Board are implemented by the Company's finance department.

Credit risk

The Company's credit risk is primarily attributable to its trade debtors. The majority of this relates to transfer fees due from football clubs in relation to player sales. The carrying amount of financial assets represents the maximum credit exposure.

Liquidity and cash flow risk

The Company is reliant on the support of its parent company for ongoing working capital funding requirements to ensure that it can meet its operational obligations as they fall due.

This report was approved by the board and signed on its behalf.

Ed Warrick (Mar 31, 2025 12:38 GMT+1)

E M Warrick
Director

Date: 31/03/2025

DIRECTORS' REPORT
FOR THE YEAR ENDED 30 JUNE 2024

The directors present their report and the financial statements for the year ended 30 June 2024.

Results and dividends

The loss for the year, after taxation, amounted to £13,927k *(2023 - £9,559k).*

No dividends were paid or proposed during the year *(2023 - £Nil).*

Directors

The directors who served during the year were:

L Rifkind (resigned 21 July 2023)
T Sandgaard (resigned 21 July 2023)
J R Rodwell (appointed 21 July 2023)
E M Warrick (appointed 21 July 2023)

Future Developments

The short term objective is to be competitive in League One and target promotion to regain Championship status as soon as possible. The Company will continue to monitor and control operating costs and maximise revenue opportunities to further invest into the First Team squad and further develop the Youth Academy.

Employees

The Company is committed to employment policies, which follow best practice based on equal opportunities for all employees, irrespective of sex, race, colour disability or marital status.

Disclosure of information to auditor

Each of the persons who are directors at the time when this Directors' Report is approved has confirmed that:

- so far as the director is aware, there is no relevant audit information of which the club's auditor is unaware, and
- the director has taken all the steps that ought to have been taken as a director in order to be aware of any relevant audit information and to establish that the club's auditor is aware of that information.

This information is given and should be interpreted in accordance with the provisions of section 418 of the Companies Act 2006.

Post statement of financial position events

On 6 August 2024 the Club were subject to a ransomware cyber-attack to its legacy accounting system which had been in use until 31 October 2023. As a result of the attack - for which the financial impact was covered under the Club's insurance policy - significant financial data on the system was wiped and unavailable. While the direct financial impact was mitigated, the attack also disrupted other areas of activity including the financial records of the business. This has led to difficulty in providing a full audit trail to facilitate our external audit resulting in the qualified audit report included on pages 6 to 9 of this annual report.

Matters covered in the Strategic Report

Where necessary, disclosures relating to principal risks & uncertainties have been made in the Strategic Report and have not been repeated here in accordance with Section 414C of the Companies Act 2006.

Auditor

The auditor, CLA Evelyn Partners Limited, has recently changed its name to S&W Partners Audit Limited and will be proposed for reappointment in accordance with section 485 of the Companies Act 2006.

This report was approved by the board and signed on its behalf.

Ed Warrick (Mar 31, 2025 12:38 GMT+1)

E M Warrick
Director

Date: 31/03/2025

DIRECTORS' RESPONSIBILITIES STATEMENT
FOR THE YEAR ENDED 30 JUNE 2024

The directors are responsible for preparing the Strategic Report, the Directors' Report and the financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare financial statements for each financial year. Under that law the directors have elected to prepare the financial statements in accordance with applicable law and United Kingdom Accounting Standards (United Kingdom Generally Accepted Accounting Practice), including Financial Reporting Standard 102 'The Financial Reporting Standard applicable in the UK and Republic of Ireland'. Under company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the Company and of the profit or loss of the Company for that period.

In preparing these financial statements, the directors are required to:

- select suitable accounting policies for the Company's financial statements and then apply them consistently;
- make judgments and accounting estimates that are reasonable and prudent;
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the Company will continue in business.

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the Company's transactions and disclose with reasonable accuracy at any time the financial position of the Company and to enable them to ensure that the financial statements comply with the Companies Act 2006. They are also responsible for safeguarding the assets of the Company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

evelyn
PARTNERS

INDEPENDENT AUDITOR'S REPORT TO THE MEMBERS OF CHARLTON ATHLETIC FOOTBALL COMPANY LIMITED

Disclaimer of opinion

We were engaged to audit the financial statements of Charlton Athletic Football Company Limited (the 'Company') for the year ended 30 June 2024 which comprise the Statement of Comprehensive Income, the Statement of Financial Position, the Statement of Changes in Equity and notes to the financial statements, including a summary of significant accounting policies. The financial reporting framework that has been applied in their preparation is applicable law and Financial Reporting Standard 102 "The Financial Reporting Standard applicable in the UK and Republic of Ireland" (United Kingdom Generally Accepted Accounting Practice).

We do not express an opinion on the accompanying financial statements of the Company. Because of the significance of the matter described in the basis for disclaimer of opinion section of our report, we have not been able to obtain sufficient appropriate audit evidence to provide a basis for an audit opinion on these financial statements.

Basis for disclaimer of opinion

As set out further in note 25, in August 2024 the Company was subject to a cyber-attack which impacted its ability to access the accounting system used during the 4-month period to 31 October 2023 together with supporting documentation held within. Together with the impact of system and personnel changes, management have been unable to provide sufficient audit evidence for certain transactions in this period including detail behind certain bank transactions leading to uncertainty on whether balances are accurate and correctly categorised.

As a result of these matters, we were unable to determine whether any adjustments might have been found necessary to the Statement of Comprehensive Income, the Statement of Financial Position and the Statement of Changes in Equity.

Opinions on other matters prescribed by the Companies Act 2006

Because of the significance of the matter described in the basis for disclaimer of opinion section of our report, we have been unable to form an opinion, whether based on the work undertaken in the course of the audit:

- the information given in the Strategic Report and the Directors' Report for the financial year for which the financial statements are prepared is consistent with the financial statements; and
- the Strategic Report and the Directors' Report have been prepared in accordance with applicable legal requirements.

Matters on which we are required to report by exception

Notwithstanding our disclaimer of an opinion on the financial statements, in the light of the knowledge and understanding of the company and its environment obtained in the course of the audit performed subject to the pervasive limitation described above, we have not identified material misstatements in the Strategic Report or the Directors' Report.

Arising from the limitation of our work referred to above:

- we have not obtained all the information and explanations that we considered necessary for the purpose of our audit; and
- we were unable to determine whether adequate accounting records have been kept.

We have nothing to report in respect of the following matters in relation to which the Companies Act 2006 requires us to report to you if, in our opinion:

- returns adequate accounting for our audit have not been received from branches not visited by us; or
- the financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of directors' remuneration specified by law are not made.

Responsibilities of directors

As explained more fully in the Directors' Responsibilities Statement set out on page 5, the directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view, and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the directors are responsible for assessing the Club's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the Club or to cease operations, or have no realistic alternative but to do so.

Auditor's responsibilities for the audit of the financial statements

Our responsibility is to conduct an audit of the company's financial statements in accordance with International Standards on Auditing (UK) and to issue an auditor's report.

However, because of the matter described in the basis for disclaimer of opinion section of our report, we were not able to obtain sufficient appropriate audit evidence to provide a basis for an audit opinion on these financial statements.

We are independent of the Company in accordance with the ethical requirements that are relevant to our audit of the financial statements in the UK, including the FRC's Ethical Standard, and we have fulfilled our other ethical responsibilities in accordance with these requirements.

Extent to which the audit is considered capable of detecting irregularities

Due to the issues noted in the Basis for disclaimer of opinion section above, including the cyber-attack, and management being unable to provide sufficient audit evidence to support material balances within the financial statements there is a heightened risk of the audit being unable to detect irregularities, including material misstatement due to fraud.

Irregularities, including fraud, are instances of non-compliance with laws and regulations. We design procedures in line with our responsibilities, outlined above, to detect material misstatements in respect of irregularities, including fraud. The extent to which our procedures are capable of detecting irregularities, including fraud is detailed below:

We obtained an understanding of the club's legal and regulatory framework through enquiry of management concerning their understanding of relevant laws and regulations and of the club's policies and procedures regarding compliance. We also drew on our existing understanding of the club's industry and regulation. We understand that the club comply with the framework through:

- Updating operating procedures, manuals and internal controls as legal and regulatory requirements change;
- The directors' close involvement in the day-to-day running of the business, meaning that any litigation or claims would come to their attention directly; and
- The engagement of external experts to ensure ongoing tax compliance.

In the context of the audit, we considered those laws and regulations which determine the form and content of the financial statements and which are central to the club's ability to conduct its business and where failure to comply could result in material penalties. We identified the following laws and regulations as being of significance in the context of the club:

Those that have a direct effect on the determination of material amounts and disclosures in the financial statements. These include:

- Health and safety regulations, including building and fire safety;
- The UK Companies Act 2006 and FRS 102 in respect of the preparation and presentation of the financial statements; and
- Tax legislation.

Those that do not have a direct effect on the financial statements but compliance with which may be fundamental to the club's ability to operate or to avoid a material penalty. These include:

- The Football Association (FA), English Football League (EFL) and FIFA regulations.

We performed the following specific procedures to gain evidence about compliance with the significant laws and regulations above:

- Discussion with senior management including consideration of known or suspected non-compliance with the above regulations;
- We communicated with the club's management regarding existing litigation;
- We have reviewed legal correspondence throughout the year; and
- We obtained written management representations about any potential or ongoing legal disputes.

The senior statutory auditor led a discussion with members of the engagement team regarding the susceptibility of the club's and financial statements to material misstatement, including how fraud might occur.

The areas identified in this discussion were:

- Revenue recognition, specifically around cut-off;
- Journal entries; and
- Going concern.

The procedures that we carried out in order to gain evidence in the above area included:

- Testing of revenue transactions to underlying documentation;
- Testing journal entries, selected based on specific risk assessments applied based on the club's processes and controls surrounding manual journals; and
- Review of Management Forecasts for the period of 12 months from signing, including cash flow forecasts.

The senior statutory auditor was satisfied that the engagement team collectively had the appropriate competence and capabilities to identify or recognise irregularities.

Use of the audit report

This report is made solely to the Company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the Company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the Company and the Company's members as a body, for our audit work, for this report, or for the opinions we have formed.

Andrew Bond

Andrew Bond (Senior Statutory Auditor)

for and on behalf of
CLA Evelyn Partners Limited

Chartered Accountants
Statutory Auditor

45 Gresham Street
London
EC2V 7BG
Date: 31/03/2025

STATEMENT OF COMPREHENSIVE INCOME
FOR THE YEAR ENDED 30 JUNE 2024

	Note	2024 £000	*2023 £000*
Turnover	4	8,812	*9,802*
Gross profit		8,812	*9,802*
Administrative expenses		(23,943)	*(19,877)*
Exceptional items	5	(746)	*(148)*
Other operating income	6	1,306	*363*
Operating loss	7	(14,571)	*(9,860)*
Profit on disposal of players		687	*352*
Interest payable and similar expenses	9	(43)	*(51)*
Loss before tax		(13,927)	*(9,559)*
Tax on loss	10	-	-
Loss for the financial year		(13,927)	*(9,559)*

There was no other comprehensive income for 2024 *(2023 - £Nil)*.

The notes on pages 14 to 31 form part of these financial statements.

CHARLTON ATHLETIC FOOTBALL COMPANY LIMITED
REGISTERED NUMBER:01788466

STATEMENT OF FINANCIAL POSITION
AS AT 30 JUNE 2024

	Note		2024 £000		*As restated 2023 £000*
Fixed assets					
Intangible assets	11		1,197		*894*
Tangible assets	12		1,980		*1,209*
			3,177		*2,103*
Current assets					
Debtors: amounts falling due after more than one year	13	643		*1,381*	
Debtors: amounts falling due within one year	13	3,425		*2,439*	
Cash at bank and in hand	14	31		*11*	
		4,099		*3,831*	
Creditors: amounts falling due within one year	15	(20,737)		*(27,315)*	
Net current liabilities			(16,638)		*(23,484)*
Total assets less current liabilities			(13,461)		*(21,381)*
Creditors: amounts falling due after more than one year	16		(9,063)		*(8,547)*
Provisions for liabilities					
Other provisions	18		(130)		*(130)*
Net liabilities			(22,654)		*(30,058)*
Capital and reserves					
Called up share capital	19		26,477		*26,477*
Capital contribution reserve	20		22,369		*1,038*
Profit and loss account	20		(71,500)		*(57,573)*
Shareholders' deficit			(22,654)		*(30,058)*

STATEMENT OF FINANCIAL POSITION (CONTINUED)
AS AT 30 JUNE 2024

The financial statements were approved and authorised for issue by the board and were signed on its behalf by:

Ed Warrick (Mar 31, 2025 12:38 GMT+1)

E M Warrick
Director

Date: 31/03/2025

The notes on pages 14 to 31 form part of these financial statements.

STATEMENT OF CHANGES IN EQUITY
FOR THE YEAR ENDED 30 JUNE 2024

	Called up share capital	Capital contribution reserve	Profit and loss account	Total equity
	£000	£000	£000	£000
At 1 July 2022	26,477	1,038	(48,014)	(20,499)
Comprehensive loss for the year				
Loss for the year	-	-	(9,559)	(9,559)
At 1 July 2023	26,477	1,038	(57,573)	(30,058)
Comprehensive loss for the year				
Loss for the year	-	-	(13,927)	(13,927)
Contributions by and distributions to owners				
Loans waived in the year (note 15)	-	21,331	-	21,331
At 30 June 2024	26,477	22,369	(71,500)	(22,654)

NOTES TO THE FINANCIAL STATEMENTS
FOR THE YEAR ENDED 30 JUNE 2024

1. General information

Charlton Athletic Football Company Limited ('the Club') is a private company, limited by shares, domiciled and incorporated in England and Wales (registered number: 01788466). The registered office address is The Valley, Floyd Road, London, SE7 8BL.

2. Accounting policies

2.1 Basis of preparation of financial statements

The financial statements have been prepared under the historical cost convention unless otherwise specified within these accounting policies and in accordance with Financial Reporting Standard 102, the Financial Reporting Standard applicable in the UK and the Republic of Ireland and the Companies Act 2006.

The preparation of financial statements in compliance with FRS 102 requires the use of certain critical accounting estimates. It also requires management to exercise judgment in applying the Company's accounting policies (see note 3).

The following principal accounting policies have been applied:

2.2 Financial Reporting Standard 102 - reduced disclosure exemptions

The Company has taken advantage of the following disclosure exemptions in preparing these financial statements, as permitted by the FRS 102 "The Financial Reporting Standard applicable in the UK and Republic of Ireland":

- the requirements of Section 7 Statement of Cash Flows;
- the requirements of Section 3 Financial Statement Presentation paragraph 3.17(d);
- the requirements of Section 33 Related Party Disclosures paragraph 33.7.

This information is included in the consolidated financial statements of SE7 Partners Limited as at 30 June 2024 and these financial statements may be obtained from Companies House.

2. Accounting policies (continued)

2.3 Going concern

As at 30 June 2024, the club had net current liabilities of £16,638k *(2023 - £23,484k)* and a total comprehensive loss for the financial year of £13,927k *(2023 - £9,559k)*.

The directors have prepared forecasts which estimate that the club has sufficient cash to continue as a going concern and pay its liabilities as they fall due for the foreseeable future, being a period of at least one year from the date of approval of the accounts. The forecasts include additional funding to be provided by SE7 Partners, who have confirmed that, if necessary, they will provide additional funding above that envisaged in the base projections. SE7 Partners have provided the club with a letter of financial support for a period of not less than 12 months from the date of signing these financial statements.

As part of the transaction at the start of the financial year, SE7 Partners were approved by the EFL after an intensive scrutiny process, and signed up to EFL regulations and provided information relating to the source and sufficiency of funding. The Company has received renewed letters of support from the major ultimate shareholders. The directors believe that the club will be able to meet its liabilities as they fall due for the foreseeable future being a period of not less than one year from the approval of these financial statements. Accordingly, it is appropriate to prepare the accounts on a going concern basis and the accounts do not include any adjustments that would be required if the club was unable to continue as a going concern.

2.4 Turnover

Turnover represents income receivable from football and related commercial activities excluding transfer fees receivable and value added tax. Broadcast and matchday income is recognised when related matches are played. Advance season tickets sales are included within deferred income and released to turnover in the relevant season.

2.5 Players' registrations

The cost of obtaining players' registrations with the FA is capitalised as an intangible assets and amortised evenly over the period of the respective players' contracts. These costs include transfer fees, transfer levies and agents' fees. Payments contingent on the occurrence of uncertain future events are recognised when the event takes place. Players' registrations are written down for impairment when the individual player's carrying value exceeds the amount recoverable through use or sale. Players are derecognised as intangible assets when they are sold, or if their contracts run out. Any profit or loss on disposal is recognised through profit or loss.

2. Accounting policies (continued)

2.6 Foreign currency translation

Functional and presentation currency

The Company's functional and presentational currency is GBP.

Transactions and balances

Foreign currency transactions are translated into the functional currency using the spot exchange rates at the dates of the transactions.

At each period end foreign currency monetary items are translated using the closing rate. Non-monetary items measured at historical cost are translated using the exchange rate at the date of the transaction and non-monetary items measured at fair value are measured using the exchange rate when fair value was determined.

Foreign exchange gains and losses resulting from the settlement of transactions and from the translation at period-end exchange rates of monetary assets and liabilities denominated in foreign currencies are recognised in profit or loss except when deferred in other comprehensive income as qualifying cash flow hedges.

Foreign exchange gains and losses that relate to borrowings and cash and cash equivalents are presented in the Statement of Comprehensive Income within 'finance income or costs'. All other foreign exchange gains and losses are presented in profit or loss within 'other operating income'.

2.7 Pensions

Defined contribution pension plan

The Company operates a defined contribution plan for its employees. A defined contribution plan is a pension plan under which the Company pays fixed contributions into a separate entity. Once the contributions have been paid the Company has no further payment obligations.

The contributions are recognised as an expense in profit or loss when they fall due. Amounts not paid are shown in accruals as a liability in the Statement of Financial Position. The assets of the plan are held separately from the Company in independently administered funds.

Defined benefit scheme
The club is a member of the Football League Pension and Life Assurance Scheme ('the Scheme'). The Scheme is a multi-employer defined benefit pension scheme, where it is unable to identify its share of the underlying assets and liabilities on a consistent and reasonable basis. Therefore, as required by FRS 102, the club accounts for the Scheme as if it were a defined contribution scheme. As a result, the amounts charged to Administrative expenses represent the contributions payable to the Scheme. Where material, contributions payable under an agreement with the Scheme to fund past deficits are recognised as a liability in the club's financial statements.

2. Accounting policies (continued)

2.8 Government grants

Grants are accounted under the accruals model as permitted by FRS 102. Grants relating to expenditure on tangible fixed assets are credited to profit or loss at the same rate as the depreciation on the assets to which the grant relates. The deferred element of grants is included in creditors as deferred income.

Grants of a revenue nature are recognised in profit or loss in the same period as the related expenditure.

2.9 Taxation

Tax is recognised in profit or loss except that a charge attributable to an item of income and expense recognised as other comprehensive income or to an item recognised directly in equity is also recognised in other comprehensive income or directly in equity respectively.

The current income tax charge is calculated on the basis of tax rates and laws that have been enacted or substantively enacted by the reporting date in the countries where the club operates and generates income.

Deferred tax balances are recognised in respect of all timing differences that have originated but not reversed by the reporting date, except that:

- The recognition of deferred tax assets is limited to the extent that it is probable that they will be recovered against the reversal of deferred tax liabilities or other future taxable profits; and
- Any deferred tax balances are reversed if and when all conditions for retaining associated tax allowances have been met.

Deferred tax balances are not recognised in respect of permanent differences except in respect of business combinations, when deferred tax is recognised on the differences between the fair values of assets acquired and the future tax deductions available for them and the differences between the fair values of liabilities acquired and the amount that will be assessed for tax. Deferred tax is determined using tax rates and laws that have been enacted or substantively enacted by the reporting date.

2.10 Finance costs

Finance costs are charged to profit or loss over the term of the debt using the effective interest method so that the amount charged is at a constant rate on the carrying amount. Issue costs are initially recognised as a reduction in the proceeds of the associated capital instrument.

2.11 Borrowing costs

All borrowing costs are recognised in profit or loss in the year in which they are incurred.

2. Accounting policies (continued)

2.12 Signing on fees and loyalty payments

Signing on fees are recognised through profit or loss evenly over the period covered by the players' contract. Loyalty payments are accrued through profit or loss for the period to which they relate.

2.13 Long-term season ticket schemes

The net amount received by the club through long-term season ticket schemes is treated as deferred income within creditors and is released through profit or loss over the period in which the supporters utilise their season ticket.

2.14 Barter transactions

Exchange of goods or services are recognised as revenue when goods are sold or services are exchanged for dissimilar goods or services in a transaction that has commercial substance.

Turnover is recognised at the fair value of the good or services received adjusted by the amount of any cash or cash equivalents transferred.

2.15 Exceptional items

Exceptional items are transactions that fall within the ordinary activities of the club but are presented separately due to their size or incidence.

2.16 Tangible fixed assets

Tangible fixed assets under the cost model are stated at historical cost less accumulated depreciation and any accumulated impairment losses. Historical cost includes expenditure that is directly attributable to bringing the asset to the location and condition necessary for it to be capable of operating in the manner intended by management.

Depreciation is charged so as to allocate the cost of assets less their residual value over their estimated useful lives, using the straight-line method.

Depreciation is provided on the following basis:

Fixtures and fittings	- 20 - 33%

The assets' residual values, useful lives and depreciation methods are reviewed, and adjusted prospectively if appropriate, or if there is an indication of a significant change since the last reporting date.

Gains and losses on disposals are determined by comparing the proceeds with the carrying amount and are recognised in profit or loss.

2. Accounting policies (continued)

2.17 Provisions for liabilities

Provisions are made where an event has taken place that gives the club a legal or constructive obligation that probably requires settlement by a transfer of economic benefit, and a reliable estimate can be made of the amount of the obligation.

Provisions are charged as an expense to profit or loss in the year that the club becomes aware of the obligation, and are measured at the best estimate at the reporting date of the expenditure required to settle the obligation, taking into account relevant risks and uncertainties.

When payments are eventually made, they are charged to the provision carried in the Statement of Financial Position.

2.18 Financial instruments

Financial assets and financial liabilities are recognised in the Statement of Financial Position when the club becomes a party to the contractual provisions of the instrument.

Trade and other debtors and creditors are classified as basic financial instruments and measured on initial recognition at transaction price. Debtors and creditors are subsequently measured at amortised cost using the effective interest rate method. A provision is established when there is objective evidence that the club will not be able to collect all amounts due.

Cash and cash equivalents are classified as basic financial instruments and comprise cash in hand and at bank, short-term bank deposits with an original maturity of three months or less and bank overdrafts which are an integral part of the club's cash management.

Financial liabilities and equity instruments issued by the club are classified in accordance with the substance of the contractual arrangements entered into and the definitions of a financial liability and an equity instrument. An equity instrument is any contract that evidences a residual interest in the assets of the club after deducting all of its liabilities. Equity instruments issued by the club are recorded at the proceeds received, net of direct issue costs.

Interest bearing bank loans, overdrafts and other loans which meet the criteria to be classified as basic financial instruments are initially recorded at the present value of cash payable to the bank, which is ordinarily equal to the proceeds received net of direct issue costs. These liabilities are subsequently measured at amortised cost, using the effective interest rate method.

3. Judgments in applying accounting policies and key sources of estimation uncertainty

The judgements, estimates and assumptions are evaluated at each reporting date and are based on historical experience as adjusted for current market conditions and other factors. Management makes estimates and assumptions concerning the future in preparing the financial statements and the actual results will not always reflect the accounting estimates made. The estimates and assumptions that had a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities of the club are outlined below.

Bad debt provision

Trade debtor balances totaling £2,865k *(2023 - £3,418k)* are recorded in the Company's balance sheet. A full line by line review of these balances is carried out and a provision is applied based on anticipated recoverability. At the year-end a bad debt provision of £648k *(2023 - £29k)* was included within trade debtors.

Provisions and contigent liabilities

Creditors and provisions contain allowances for certain contingent amounts payable to players and to other clubs based on management's best estimate of certain future events, such as the number of player appearances, and the amount that will become payable as a result. Actual future costs may differ from the amounts provided.

Ex-director loans

Under FRS 102, these loans have to be recognised at their present value which differs from the original transaction value. In calculating the present value, given the highly subjective nature of any assumption used, it is assumed that promotion to the Premier League is gained at the earliest possibility (i.e. 1 year from 30 June 2025). Should this not be achieved the present value of the loans will differ materially from the value currently presented.

Operating leases

On 25 September 2020 the lease agreements relating to the Valley Stadium and Training Ground were amended following Clear Ocean Capital Limited's acquisition of the club, including revised rents and lease terms of 15 years, respectively. The directors have assessed that these leases represent operating leases in accordance with FRS 102 Section 20.5.

Depreciation of tangible fixed assets

Tangible fixed assets are depreciated over their useful life taking into account residual value where appropriate. The actual useful lives of the assets and residual values may vary depending upon a number of factors, including technological innovation and maintenance programmes.

Players' registrations

The cost of obtaining players' registrations are amortised evenly over the period of the respective players' contracts. The market value of a player could differ significantly from its net book value in the financial statements.

4. Turnover

An analysis of turnover by class of business is as follows:

	2024 £000	*2023 £000*
Television and broadcast	1,908	*2,278*
Ticket income and match day activities	4,494	*5,020*
Commercial	1,389	*1,505*
Other	1,021	*999*
	8,812	*9,802*

All turnover arose within the United Kingdom.

5. Exceptional items

	2024 £000	*2023 £000*
Severance pay	746	*148*

6. Other operating income

	2024 £000	*2023 £000*
Grant income	211	*211*
Other income	1,095	*152*
	1,306	*363*

7. Operating loss

The operating loss is stated after charging:

	2024 £000	*2023 £000*
Amortisation of intangible assets	832	*751*
Depreciation of tangible fixed assets	403	*414*
Hire of plant and machinery	13	*8*
Fees payable to the club's auditor for the audit of the club's annual financial statements	117	*50*
Non-audit fees	6	*5*
Other operating lease rentals	578	*678*

8. Employees

Staff costs were as follows:

	2024 £000	*2023 £000*
Wages and salaries	10,912	*9,249*
Social security costs	1,137	*959*
Cost of defined contribution scheme	83	*71*
	12,132	*10,279*

The average monthly number of employees, including the directors, during the year was as follows:

	2024 No.	*2023 No.*
Full time playing, training and football management	120	*113*
Administration, commercial and stadium maintenance	42	*57*
Casual staff	22	*16*
	184	*186*

9. Interest payable and similar expenses

	2024 £000	*2023 £000*
Other loan interest	43	*51*

10. Taxation

	2024 £000	2023 £000
Current taxation	-	-

Factors affecting tax charge for the year

The tax assessed for the year is higher than *(2023 - higher than)* the standard rate of corporation tax in the UK of 25% *(2023 - 20.5%)*. The differences are explained below:

	2024 £000	2023 £000
Loss on ordinary activities before tax	(13,927)	(9,559)
Loss on ordinary activities multiplied by standard rate of corporation tax in the UK of 25% (2023 - 20.5%)	(3,482)	(1,781)
Effects of:		
Expenses not deductible for tax purposes, other than goodwill amortisation and impairment	81	6
Capital allowances for year in excess of depreciation	84	14
Non-taxable income	(53)	(43)
Movement in deferred tax not recognised	3,370	2,217
Remeasurement of deferred tax for changes in tax rates recognised in other comprehensive income	-	(413)
Total tax charge for the year	-	-

Factors that may affect future tax charges

The current year rate of 25% arises from changes to legislation enacted during 2021. The main rate of corporation tax in the UK increased from 19% to 25% with effect from 1 April 2023.

In June 2023 Finance Act (No.2) 2023 was substantively enacted in the UK, introducing a global minimum effective tax rate of 15% in line with the OECD Pillar Two model rules. The legislation implements a domestic top-up tax and a multinational top-up tax, effective for periods starting on or after 31 December 2023. The directors believe that the new rules are not expected to have a material impact on the Company's operations or results.

The club has tax losses of approximately £134 million *(2023 - £120 million)* available to carry forward against future trading profits.

11. Intangible assets

	Players' registrations £000
Cost	
At 1 July 2023	2,438
Additions	1,501
Disposals	(1,150)
Impairment	(146)
At 30 June 2024	2,643
Amortisation	
At 1 July 2023	1,544
Charge for the year	832
Disposals	(930)
At 30 June 2024	1,446
Net book value	
At 30 June 2024	1,197
At 30 June 2023	*894*

The figures for cost of player registrations are historical cost figures for purchased players only. Accordingly the net book value of player registrations will not reflect, nor is it intended to, the current market value of these players nor does it take into account the value of any players developed through the club's youth system.

The directors consider the net realisable value of intangible assets to be considerably greater than their net book value.

12. Tangible fixed assets

	Fixtures and fittings £000
Cost or valuation	
At 1 July 2023	2,364
Additions	1,174
At 30 June 2024	3,538
Depreciation	
At 1 July 2023	1,155
Charge for the year	403
At 30 June 2024	1,558
Net book value	
At 30 June 2024	1,980
At 30 June 2023	*1,209*

13. Debtors

	2024 £000	*2023 £000*
Due after more than one year		
Trade debtors	500	*1,381*
Prepayments	143	-
	643	*1,381*

	2024 £000	*2023 £000*
Due within one year		
Trade debtors	1,717	*2,008*
Amounts owed by group undertakings	920	*107*
Other debtors	507	*169*
Prepayments and accrued income	281	*155*
	3,425	*2,439*

14. Cash and cash equivalents

	2024 £000	*2023 £000*
Cash at bank and in hand	31	*11*

15. Creditors: Amounts falling due within one year

	2024 £000	*As restated 2023 £000*
Bank loans and overdrafts	10	*93*
Amounts owed to group companies	11,734	*21,331*
Trade creditors	4,098	*1,961*
Corporation tax	-	*3*
Other taxation and social security	309	*508*
Other loans	350	-
Other creditors	839	*669*
Accruals and deferred income	3,111	*2,539*
Grants received	286	*211*
	20,737	*27,315*

The 2023 comparative balance for Grants received has been restated, from £Nil to £211k, to appropriately represent the balance falling due within one year. There is no impact on the comparative net assets.

Amounts owed to group companies are unsecured, interest free and repayable on demand.

Other loans are unsecured and attract interest at 2.5% per annum. The balance is due for repayment on 2 December 2024.

On 21 July 2023, the Company was sold by Clear Ocean Capital to SE7 Partners Limited. As part of this transaction Clear Ocean Capital waived amounts loaned to the Company totaling £21,331k. This has been accounted for as a capital contribution.

16. Creditors: Amounts falling due after more than one year

	2024 £000	*As restated 2023 £000*
Trade creditors	151	-
Accruals and deferred income	139	-
Other loans	6,043	*6,394*
Other creditors	157	*46*
Grants received	2,573	*2,107*
	9,063	*8,547*

The 2023 comparative balance for Grants received has been restated, from £2,318k to £2,107k, to appropriately represent the balance falling due after more than one year. There is no impact on the comparative net assets.

On 25 September 2020, the previous owners Clear Ocean Capital Limited acquired the club, as part of the change in ownership of the club, a deed of waiver and release was signed on 25 September 2020 in respect of obligations owed by the club to Staprix NV. The loan owed to Staprix NV of £44,247k was waived in consideration for certain fixtures within leasehold improvement assets which were owned by the club as at 25 September 2020 and contingent consideration being payable by the club to Staprix NV if the club is promoted to the Premier League before 25 September 2030 (note 21). The details of which have not been disclosed as they are considered to be prejudicial to the arrangements entered into by the club as part of the 25 September 2020 transaction.

17. Loans

Analysis of the maturity of loans is given below:

	2024 £000	*2023 £000*
Amounts falling due within one year		
Other loans	350	-
Amounts owed to group companies	11,734	*21,331*
Amounts falling due 2-5 years		
Other loans	3,364	*3,715*
Amounts falling due after more than 5 years		
Other loans	2,679	*2,679*
	18,127	*27,725*

18. Provisions

	Dilapidation Provision £000
At 1 July 2023	130
At 30 June 2024	130

19. Share capital

	2024 £000	*2023 £000*
Allotted, called up and fully paid		
26,477,268 *(2023 - 26,477,268)* Ordinary shares of £1.00 each	26,477	*26,477*

The Ordinary shares each have full voting, dividend and distribution rights.

20. Reserves

Capital contribution reserve

This reserve relates to capital contributions arising on financing transactions with the club's previous parent company, Clear Ocean Capital Limited.

Profit and loss account

This reserve relates to the cumulative retained earnings less amounts distributed to shareholders.

21. Contingent assets and liabilities

Additional transfer and agent fees £150k *(2023 - £367k)* will become payable depending on players making specific numbers of appearances, gaining international honours and on-field playing success.

Additional fees are receivable of £Nil *(2023 - £200k)* where players sold make specific numbers of appearances, gain international honours or achieve on-field success.

Contingent consideration may be payable by the club to Staprix NV if the club is promoted to the Premier League before 25 September 2030. This contingent consideration payable by the club is considered to be a contingent liability as at 30 June 2024. The details of which have not been disclosed as they are considered to be prejudicial to the arrangements entered into by the club as part of the 25 September 2020 transaction.

22. Pension commitment

The club participates in the Football League Pension and Life Assurance Scheme ('the Scheme'). The Scheme is a funded multi-employer defined benefit scheme, with 92 participating employers, and where members may have periods of service attributable to several participating employers. The club is unable to identify its share of assets and liabilities of the Scheme and therefore accounts for its contributions as if they were paid to a defined contribution scheme.

The accrual of benefits ceased within the Scheme on 31 August 1999, therefore there are no contributions relating to current accruals. The club pays monthly contributions based on a notional split of the total expenses and deficit contributions of the Scheme. At 30 June 2024 the club's share of the deficit was £76k *(2023 - £110k)*.

The club currently pays total contributions of £35k *(2023 - £33k)*, per annum which increases at 5.0% per annum (first increase at 1 September 2016) and based on the actuarial valuation assumptions used in the Scheme, will be sufficient to pay off the deficit by 1 July 2026.

23. Commitments under operating leases

At 30 June 2024 the Company had future minimum lease payments due under non-cancellable operating leases for each of the following periods:

	2024 £000	*2023* *£000*
Land and building leases		
Not later than 1 year	578	*578*
Later than 1 year and not later than 5 years	2,258	*2,304*
Later than 5 years	2,946	*3,478*
	5,782	*6,360*

	2024 £000	*2023* *£000*
Other leases		
Not later than 1 year	13	*19*
Later than 1 year and not later than 5 years	16	*29*
	29	*48*

24. Related party transactions

The Company has taken advantage of the exemption in FRS 102 Section 33.1A to not disclose transactions with wholly owned group entities.

Key management are those persons having authority and responsibility for planning, controlling and directing the activities of the Company. The total amount of remuneration paid to key management personnel during the year was £1,948k *(2023 - £1,148k)*.

25. Post statement of financial position events

On 6 August 2024 the club were subject to a ransomware cyber-attack to its legacy accounting system which had been in use until 31 October 2023. As a result of the attack - for which the financial impact was covered under the club's insurance policy - significant financial data on the system was wiped and unavailable. While the direct financial impact was mitigated, the attack also disrupted other areas of activity including the financial records of the business. This has led to difficulty in providing a full audit trail to facilitate our external audit resulting in the qualified audit report included on pages 6 to 9 of this annual report.

26. Controlling party

SE7 Partners Ltd a company registered in England and Wales is the immediate parent undertaking.

The ultimate parent undertaking is Global Football Partners Limited, a company incorporated in the Cayman Islands.

The smallest and largest group of undertakings for which group accounts for the year ended 30 June 2024 will be drawn up, is that headed by SE7 Partners Limited. Copies of the group accounts are available from Companies House.

The directors do not consider there to be an ultimate controlling party.